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WEEKEND ANALYSIS

The incredible disappearing sub-\$5M round

By [Jacob Robbins](#)

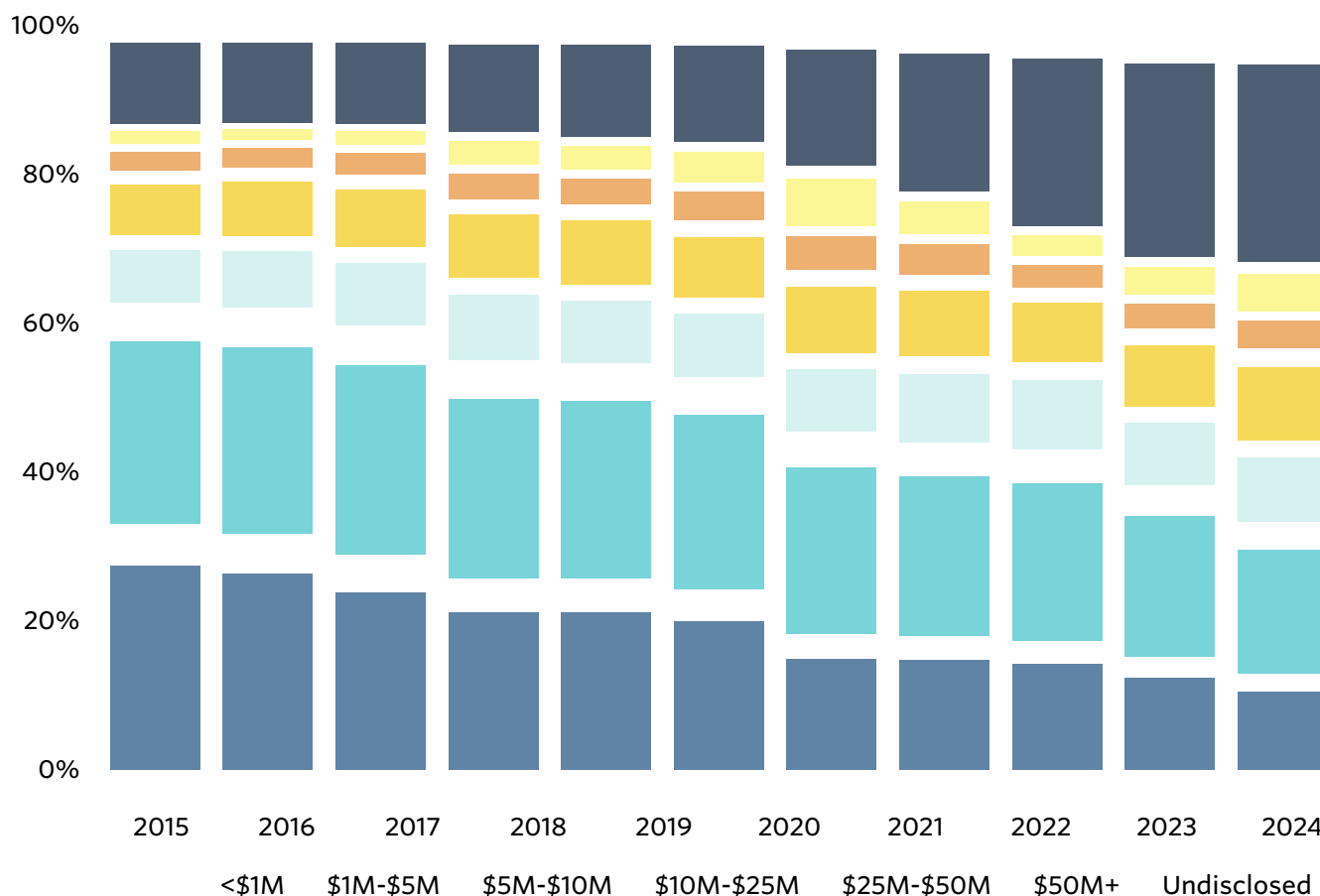
Published July 25, 2025



Sub-\$5 million VC rounds are disappearing.

A decade ago, these deals made up over 70% of all US VC transactions. Today it's less than half of that, according to the [latest PitchBook-NVCA Venture Monitor](#). From Q1 2024 onward, in particular, sub-\$5 million deals have increasingly seen their share of overall dealmaking diminish.

The vanishing sub \$5 million round



Geography: US • As of June 30, 2025

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Suspect 1: Multi-stage firms

One likely cause: Intensifying competition between firms focused on seed investing and bigger multi-stage firms is driving up deal size, shrinking the number of transactions below \$5 million.

"This is a tale as old as time, but the multi-stage funds are offensive as ever," said [Otherwise Fund](#) managing director Terrence Rohan. "There used to be equal pros and

cons from taking multi-stage capital at seed, but I think the pros are really starting to outweigh the cons, at least in the founders' minds."

More startups are seeing the value in signing on with bigger marquee firms instead of smaller boutique investors, he argued. When it comes to brand recognition, smaller seed investors aren't often able to compete, he added.

"If seed investors want to remain competitive, they've got to work on their brand. They really have to create a value prop that is super compelling because right now they're getting out-competed, the rounds are getting so big they're just not participating," he said.

This shift to bigger funds can have real consequences for startups as well. When early-stage startups need help the most, bigger firms aren't as motivated to provide support, said Liz Wessel, partner at [First Round Capital](#).

"I talk to founders all the time that aren't having everything go perfectly, and they're so often regretting the fact they raised their seed from a multi-stage firm that gives them very little attention," Wessel said. "It's not every founder, but often what I hear is 'why did I raise from a multi-stage firm, this is not what they do best, this is not where they spend their time. I am a small check compared to the average check of \$30 million to \$50 million. I am small peanuts for them.'"

Suspect 2: Startups themselves

Startups themselves are also likely playing a role in the disappearance of smaller funding rounds as they take advantage of investors' current fear of missing out on the next big thing.

Startups seeking high prices for their equity are pricing out seed boutique investors, explained Greg Sands, founder and managing partner at [Costanoa Ventures](#).

"We'll be seeing a company's whole round be only 10% of the company, not 20% or 25%, and that doesn't make sense for a firm like ours who wants to be concentrated, who wants to matter to every company and have them matter to us," he said. "The dollar size might be enough, but the ownership doesn't work."

More early-stage companies are asking for more capital simply because, in this environment, they can, Anna Barber, partner at [M13](#), told PitchBook.

"Some startups are asking for more and taking more because they have early momentum and check a lot of boxes that people are looking for," she said. "For VCs, there's like a real sense of alertness and attentiveness if something is interesting to figure out, to dig and be in a position to decide quickly."

Barber recounted the sort of anecdote common during high times of FOMO: On a Friday, she had scheduled a follow-up meeting with an exciting startup for the coming Monday—only to later learn that a rival investor had traveled over the weekend with a term sheet that beat her to the punch

“The math on how large the perceived outcomes are has gotten so much bigger,” she said. “Everyone believes in the power law, and everyone believes in AI, so when you compound those two things, you’re getting these seed rounds that are very large.”

Featured image by Jenna O'Malley/PitchBook News

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About [Jacob Robbins](#)

Reporter Jacob Robbins covers artificial intelligence and the venture capital ecosystem for PitchBook. Based in Seattle, Jacob is originally from Massachusetts and holds dual degrees in political science and cinema studies from the American University. His work has previously appeared in Air Mail and Business Insider.

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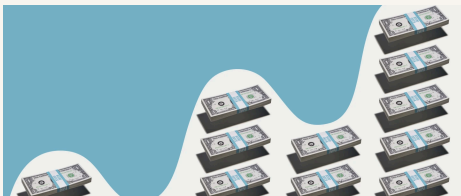
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